

Monthly Market Insights

June 2025

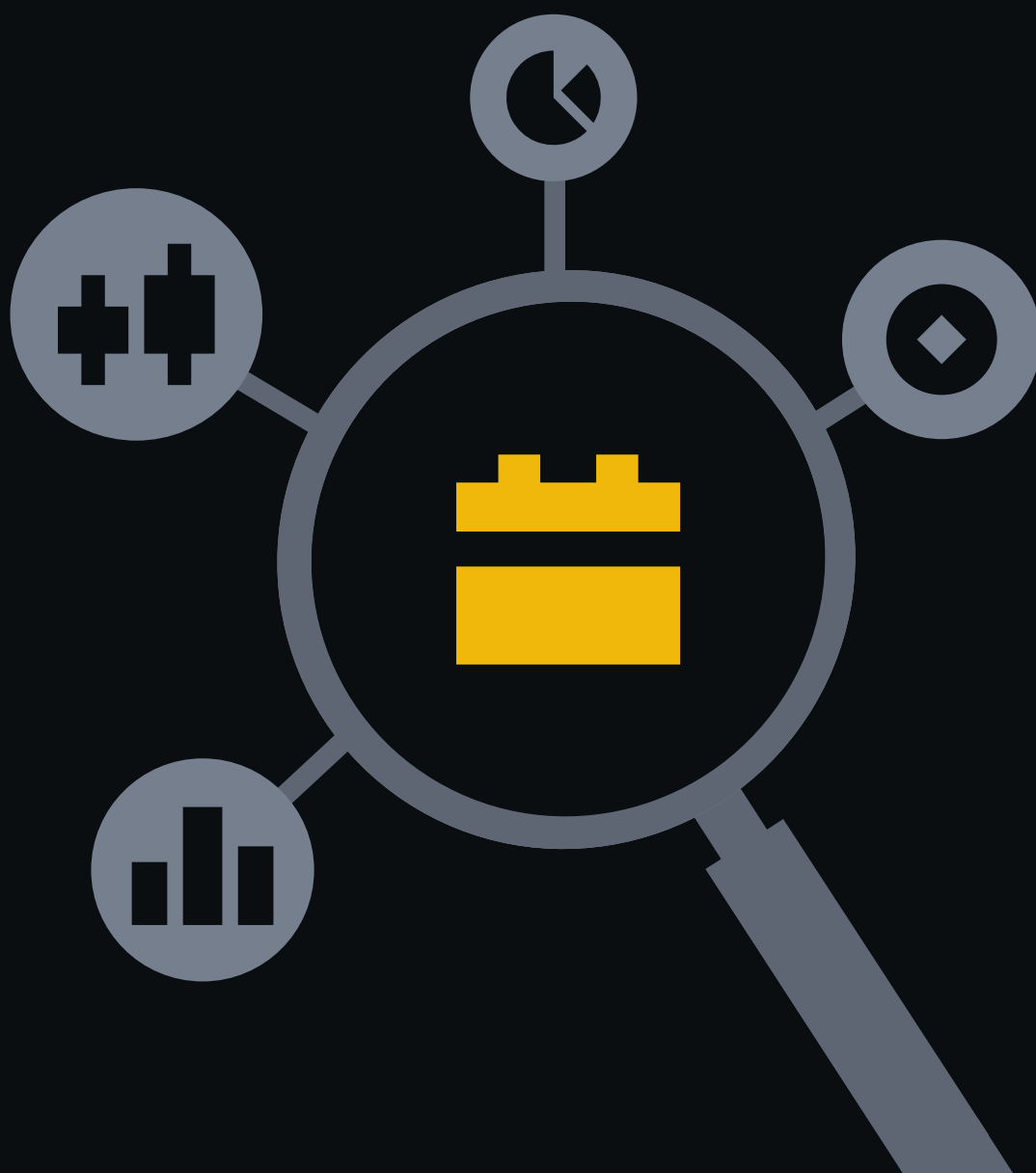


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01 / Key Takeaways

- In May 2025, the cryptocurrency market rose 10.3%, continuing the upward trend from April despite significant volatility driven by uncertainty in U.S. trade policies. Bitcoin and Ethereum short positions saw nearly US\$1B in liquidations following the U.S.-UK trade agreement, with an additional US\$183M liquidated after the U.S.-EU tariff pause. Meanwhile, corporate adoption strengthened, highlighted by TwentyOne Capital's Bitcoin acquisition and Sharplink's announcement of a new Ethereum treasury.
- U.S. spot Bitcoin ETFs saw a strong May, attracting US\$5.2B in net inflows – the highest since November 2024 – as Bitcoin reached a new all-time high (ATH) due to the support of stablecoin legislation in the U.S. Senate and Hong Kong's Legislative Council. However, late-month profit taking and renewed macro uncertainty triggered US\$962M of outflows over two days, the largest since February. The volatility highlights ETFs' growing role in price discovery, with BlackRock's IBIT leading inflows while Grayscale's GBTC shed US\$320M, signaling a potential 'winner-takes-all' dynamic.
- Corporate BTC treasuries continue to expand sharply, reaching 809.1K BTC across 116 public companies in May. Bitcoin's all-time highs (~US\$112K) have renewed corporate FOMO as firms seek balance sheet upside and inflation hedges, supported by improving regulatory clarity and 2025 fair-value accounting changes. While BTC remains the core reserve asset, some firms are cautiously diversifying into ETH, SOL, and XRP. Looking ahead, the pace of treasury growth will depend on broader macro conditions, regulatory shifts, and market cycles.
- May 2025's crypto market highlighted notable structural divergence and sector rotation. Decentralized Finance (DeFi) grew an impressive 19.0%, driven by new product launches, yield opportunities, capital rotation, and rising Total Value Locked (TVL), far outpacing Bitcoin's solid 11.1% gain as BTC reached a new ATH. In contrast, Gaming and Layer 2 (L2) remained weak, posting negative returns despite generally positive market sentiment.
- The tokenized real-world asset (RWA) market has surged over 260% in the first half of 2025, reaching a total valuation of US\$23B. Currently, tokenized private credit and U.S. Treasury debt dominates the space, accounting for 58% and 34% of the market, respectively. As regulatory frameworks become clearer, the sector is poised for continued growth and increased participation from major industry players.

02 / Crypto Market Performance

In May, the cryptocurrency market increased by 10.3%, continuing the upward momentum from the previous month. Volatility remained elevated, driven largely by developments in trade policies, particularly U.S.-China relations. While the two countries agreed to reduce tariffs to 30%, the move was met with mixed reactions due to continued uncertainty over long-term trade policies, with renewed tensions also emerging between the two countries. Adding to the uncertainty, a late-May court ruling temporarily halted all tariffs, briefly boosting market sentiment. However, the tariffs were subsequently reinstated, reigniting concerns over potential economic disruptions and contributing to ongoing market fluctuations and cautious investor behavior in the crypto space.

Despite the mixed macro backdrop, major crypto assets posted strong gains during the month. Bitcoin reached a new all-time high of US\$111,970, supported by increasing institutional adoption and growing confidence in its long-term value as a strategic asset and macro hedge. For example, TwentyOne Capital publicly disclosed it had acquired an additional 4,812.2 BTC, taking total holdings to 37,230 BTC.

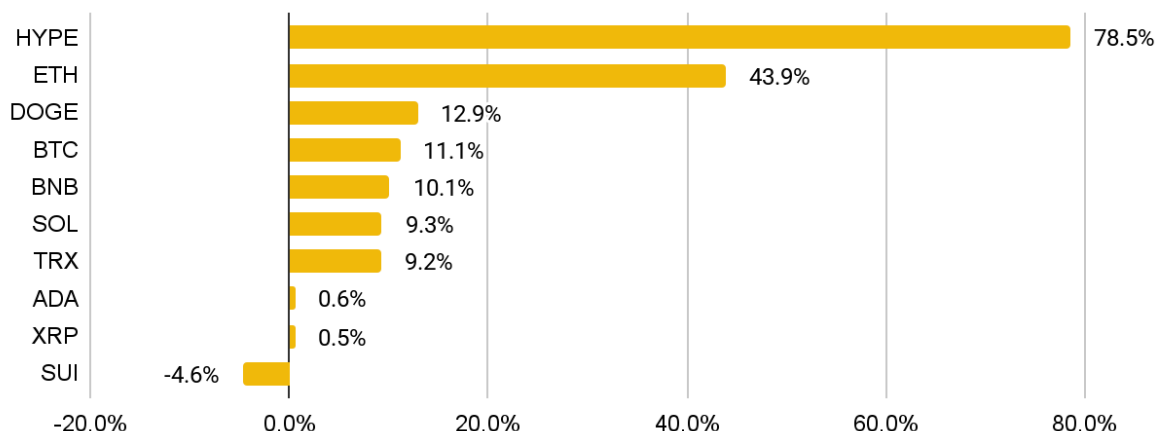
Ethereum also recorded a strong recovery of 43.9% during this period, coinciding with the successful implementation of the Pectra upgrade. This upgrade introduced several key improvements, including enhanced scalability, improved security, and a better developer experience. These factors helped support renewed optimism around Ethereum's long-term potential, driving strong price recovery and increased market interest. Additionally, Sharplink's announcement of a new Ethereum treasury underscores growing investor demand and confidence in the asset.

Figure 1: Monthly crypto market capitalization increased by 10.3% in May

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2025	4.3	-20.2	-4.4	10.8	10.3							
2024	0.4	40.0	16.3	-11.3	8.6	-11.4	5.6	-12.4	8.0	2.8	39.9	-4.5
2023	30.4	3.4	9.3	3.2	-6.0	3.3	1.0	-8.8	2.6	19.0	11.0	15.2
2022	-22.6	-0.3	25.3	-18.1	-25.2	-31.7	21.8	-11.4	-2.1	7.2	-18.0	-4.5
2021	33.9	39.6	31.1	11.4	-25.7	-5.9	12.5	25.2	-9.9	42.9	-1.0	-15.0

Source: CoinGecko
As of May 31, 2025

Figure 2: Monthly price performance of the top 10 coins by market capitalization



Source: CoinMarketCap
As of May 31, 2025

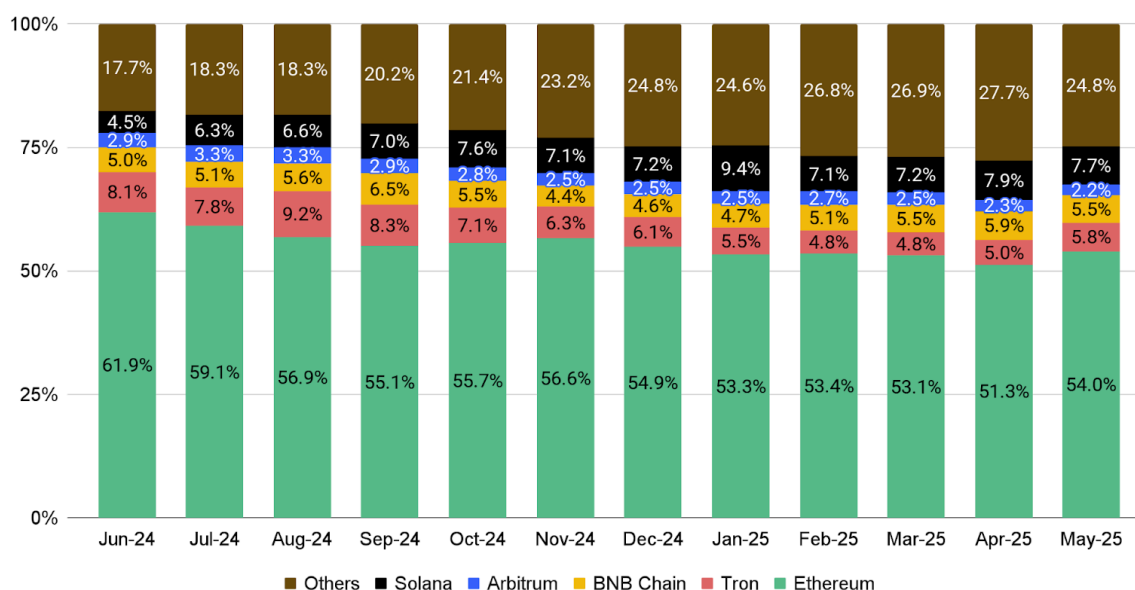
In descending order of performance:

- ◆ HYPE surged 78.5% in May driven by speculation of a new airdrop on the horizon and substantial token buybacks funded by transaction fees generated from high-profile trades, generating record platform revenue that surpassed Ethereum and Solana. Open interest reached an all-time high of US\$10.1B, with 24 hour trading volume hitting US\$18.9B, positioning Hyperliquid as the 5th largest player in the global derivatives market behind leading cryptocurrency exchanges.
- ◆ In May, ETH rebounded 43.9% following a weak prior month, driven by the successful Pectra upgrade that renewed confidence in Ethereum's long-term potential. Furthermore, Sharplink's announcement of a new Ethereum treasury highlighted growing market interest in Ethereum as a reserve asset.
- ◆ DOGE surged 12.9% in May, driven by higher investor interest following 21Shares' filing for a spot DOGE ETF, which signals growing institutional acceptance and the potential for increased market accessibility. Additionally, a 528% increase in active addresses highlights higher user engagement and network activity, further supporting the positive price momentum.
- ◆ BTC rose 11.1% in May, reaching an ATH of US\$111,970 before retreating slightly. The surge follows strong spot ETF flows and growing institutional accumulation on corporate balance sheets. At the state level, New Hampshire and Arizona have approved Bitcoin reserves, while Texas is nearing approval pending the governor's sign-off.
- ◆ BNB rose 10.1% in May. The launch of the Donald Trump-backed stablecoin USD1, with over US\$2B (accounting for 99% of its supply) minted on BNB Chain, has drawn market attention and further reinforced BNB Chain's growing role in stablecoin issuance.

- ◆ SOL experienced a 9.3% gain in May after Sol Strategies filed a US\$1B shelf prospectus, and DeFi Dev added liquid-staked SOL to its treasury, signaling strong institutional confidence in the Solana ecosystem. These capital inflows highlight growing institutional adoption, enhancing Solana's credibility and liquidity.
- ◆ TRX gained 9.2% in May, driven by Tether's recent minting of an additional US\$1B USDT on the Tron network which resulted in Tron's USDT supply surpassing Ethereum's. This emphasizes Tron's growing prominence as a preferred blockchain for stablecoin issuance, supported by its lower transaction fees and faster processing times relative to Ethereum.
- ◆ ADA and XRP saw modest gains of 0.6% and 0.5%, respectively.
- ◆ SUI declined 4.6% in May, following strong gains in the previous month. The pullback was primarily driven by the Cetus protocol hack, which led to a loss of approximately US\$1.1M in user funds. The security breach raised concerns within the community, temporarily weighing on investor confidence and contributing to the price decline.

2.1 Decentralized Finance (DeFi)

Figure 3: TVL share of top blockchains



Source: DeFiLlama
As of May 31, 2025

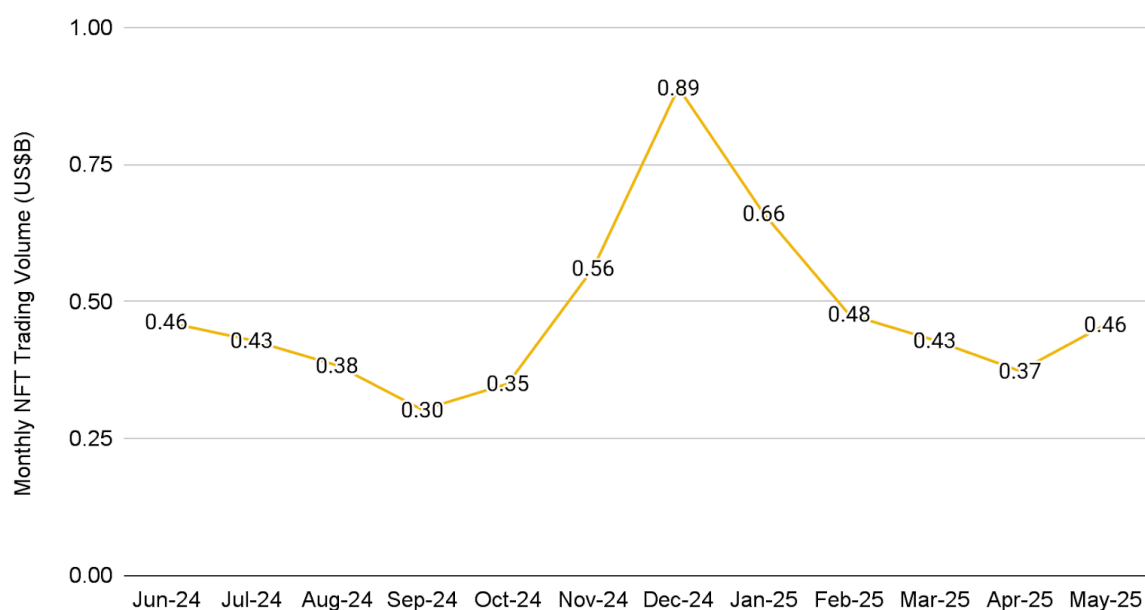
In May 2025, DeFi Total Value Locked (TVL) rose 21.4% month-on-month (MoM), aligning with the broader cryptocurrency market trend and renewed interest in Ethereum and its Layer 2s (L2s). The sharp increase in TVL was largely driven by the Base network, which reached new highs in addresses, transactions, and total value bridged, supported by the growth of borrowing and lending protocols.

Among the top five DeFi ecosystems, Ethereum recorded a significant increase in market share, alongside a slight gain for Tron, while BNB Chain, Solana, and Arbitrum saw declines. The Ethereum Pectra upgrade has further strengthened network infrastructure, attracting users and driving ecosystem growth.

Stablecoin activity also expanded during the month, contributing to broader on-chain growth. The stablecoin market grew 4.5%, supported by favorable regulatory developments and growing adoption across payment platforms such as PayPal. Notably, USDC issuer Circle – currently preparing for an IPO – partnered with major payment networks and financial institutions to facilitate USDC payments and settlements, enabling faster cross-border transactions and improving liquidity on traditional payment rails. These partnerships continue to enhance stablecoin utility, driving broader adoption and contributing to overall market cap growth. Meanwhile, USDC's market cap declined, with its market share falling from 26.2% to 24.3%, while USDT further strengthened its dominance.

2.2 Non-Fungible Tokens (NFTs)

Figure 4: Monthly NFT trading volume



Source: CryptoSlam
As of May 31, 2025

In May 2025, the total sales volume of NFTs increased by 22.5%, alongside positive price movements across the overall cryptocurrency market.

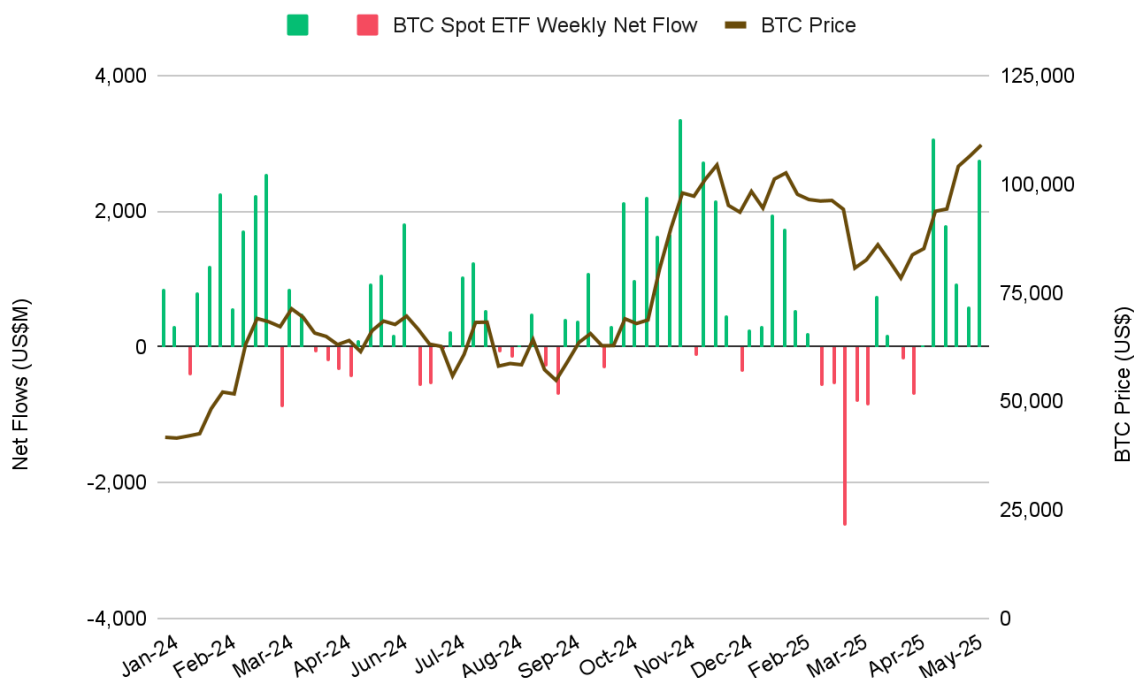
Ethereum-based NFT sales continued to decline by 20.9%, despite maintaining its position as the top chain for NFT sales. Closing the lead is Polygon, clinching the second spot in NFT sales largely due to the continued expansion of RWA-based NFT platform Courtyard, which tokenizes collectible cards as NFTs. Bitcoin saw a 14.4% rise in NFT sales from Ordinals and BRC-20 NFT collections. Among the top 20 NFT collections, Guild of Guardians on the Immutable chain saw a 40% gain in sales volume and popular Ethereum NFT collections like Doodles and Good Vibes Club experienced notable gains in sales volume.

With the recent uptick in NFT activity, the NFT market has still yet to regain prior peaks, however the market is becoming more optimistic with the growing adoption of NFTs in various industries beyond just art and collectibles, signifying ongoing innovation and development in the space.

03 / Charts of the Month

Solid Month for U.S. Spot Bitcoin ETFs

Figure 5: Spot Bitcoin ETFs post strongest net inflows since November 2024



Source: Farside.co.uk, Binance Research
As of May 31, 2025

U.S. spot Bitcoin ETFs posted significant net inflows in May, totaling **US\$5.25B** – their **best performance since November 2024**. This underscores sustained investor appetite for Bitcoin exposure through regulated ETF vehicles. However, the month wasn't without turbulence; the final two trading days saw a combined net outflow of **US\$962M**, marking the **largest two-day withdrawal since late February**.

Fund flows painted a clear narrative. Positive developments in digital asset regulation across Europe, Hong Kong, and the U.S., along with encouraging U.S. economic data that supported risk asset sentiment, drove steady inflows through mid-May. A particularly strong surge in the second half of the month propelled Bitcoin to a new all-time high (ATH). Yet, momentum reversed by month-end as rising secondary market rates and renewed trade uncertainties halted the five-week inflow streak, tipping the final week into net outflows.

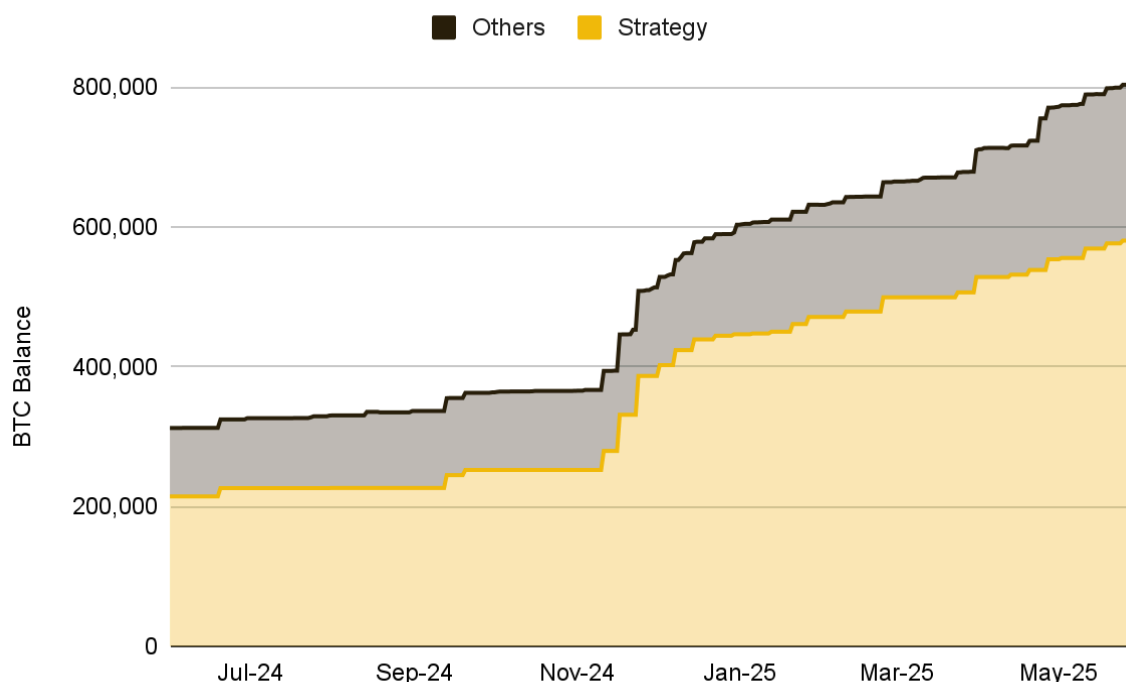
The data shows a strong link between ETF flows and Bitcoin's spot price: inflows typically fuel price appreciation, while outflows coincide with pullbacks. Bitcoin ETFs are increasingly central to price discovery and capital allocation, with their influence

beginning to reshape traditional crypto exchange dynamics. As such, ETF flow data has become a key barometer for gauging market sentiment and its likely trajectory.

Among issuers, **BlackRock's IBIT dominated**, capturing the bulk of net inflows – effectively 100% of the total – due to net outflows from competing products. Grayscale's GBTC saw continued outflow of assets due to its higher fee structure. Even the launch of a lower-fee (0.15%) Bitcoin Mini Trust last year has had minimal impact, with US\$320M exiting in May. ARK Invest's ARKB posted the second-largest net outflow at US\$290M, while flows for other issuers were largely flat. This suggests institutional capital strongly favors the largest, most liquid products with leading brand recognition like BlackRock, signaling a potential **“winner-takes-all”** dynamic emerging in the Bitcoin ETF space.

Bitcoin's Growing Footprint in Corporate Treasuries

Figure 6: Public company Bitcoin holdings have reached 809.1K BTC across 116 firms



Source: Bitcoin Treasuries, Binance Research
As of May 31, 2025

Corporate BTC treasuries continue to expand sharply. **116 public companies now hold 809.1K BTC, up from 312.2K a year ago.** Since early April alone, nearly 100K BTC has been added, with 25+ companies disclosing new holdings. Average buying this year has exceeded 40K BTC per month. Recent entrants include Trump Media, Nakamoto, GameStop, and PSG, with Strategy still accounting for 71.7% of total holdings.

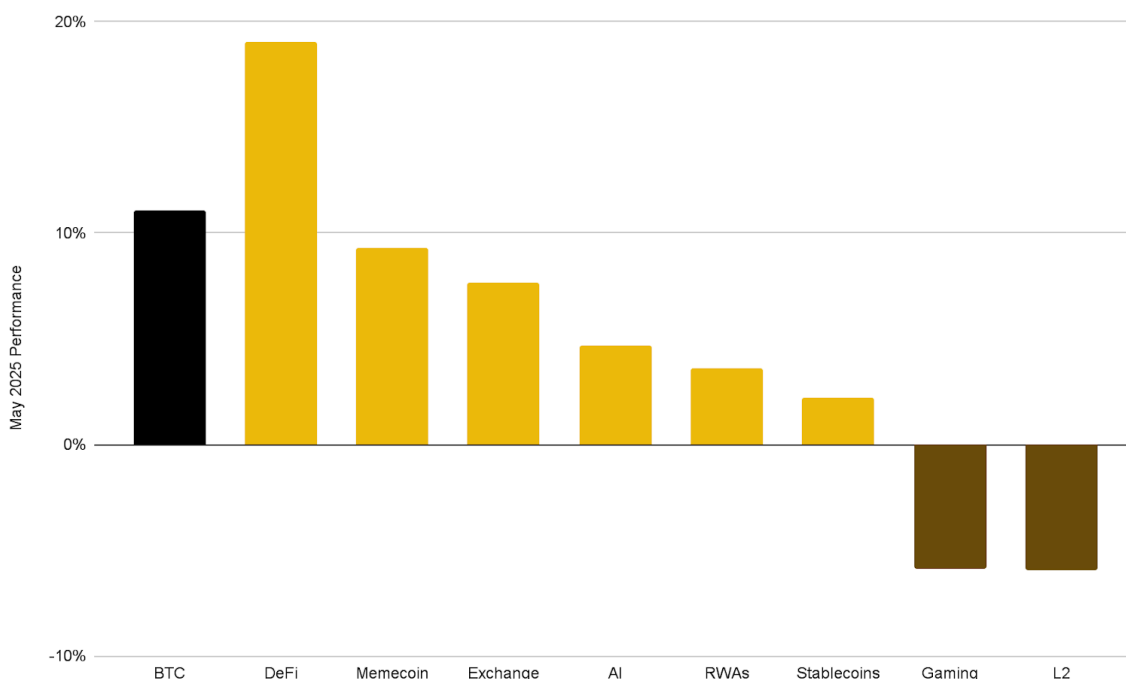
Bitcoin's all-time highs (~US\$112K) have renewed corporate FOMO, as firms seek balance sheet upside and inflation hedges. The “digital gold” narrative has strengthened amid macro uncertainty. Regulatory clarity is improving, with U.S. policymakers signaling a lighter stance, while 2025 accounting rule changes now allow fair-value treatment – removing impairment restrictions and making corporate BTC holdings more attractive.

While Bitcoin remains the core reserve asset, **some companies are also exploring ETH** (e.g., SharpLink's US\$425M ETH treasury), **SOL**, and **XRP**, though **non-BTC holdings** remain niche and often linked to firms repositioning as token-holding vehicles.

Yet, these strategies carry structural risks. Equity valuations for many firms have become heavily tied to crypto holdings, often trading at significant premiums. As adoption broadens, these premiums are compressing, while newer entrants face additional governance, risk, and liquidity challenges during market stress. Looking ahead, the trajectory of corporate crypto treasuries will depend on broader macro conditions, regulatory evolution, and market cycles. Momentum remains strong for now, with Bitwise projecting that corporate treasuries could exceed 1 million BTC by 2026.

DeFi Leads Broader Sector Divergence

Figure 7: DeFi outperformed all major crypto sectors in May, rising 19.0%



Source: Coingecko, Binance Research
As of May 31, 2025

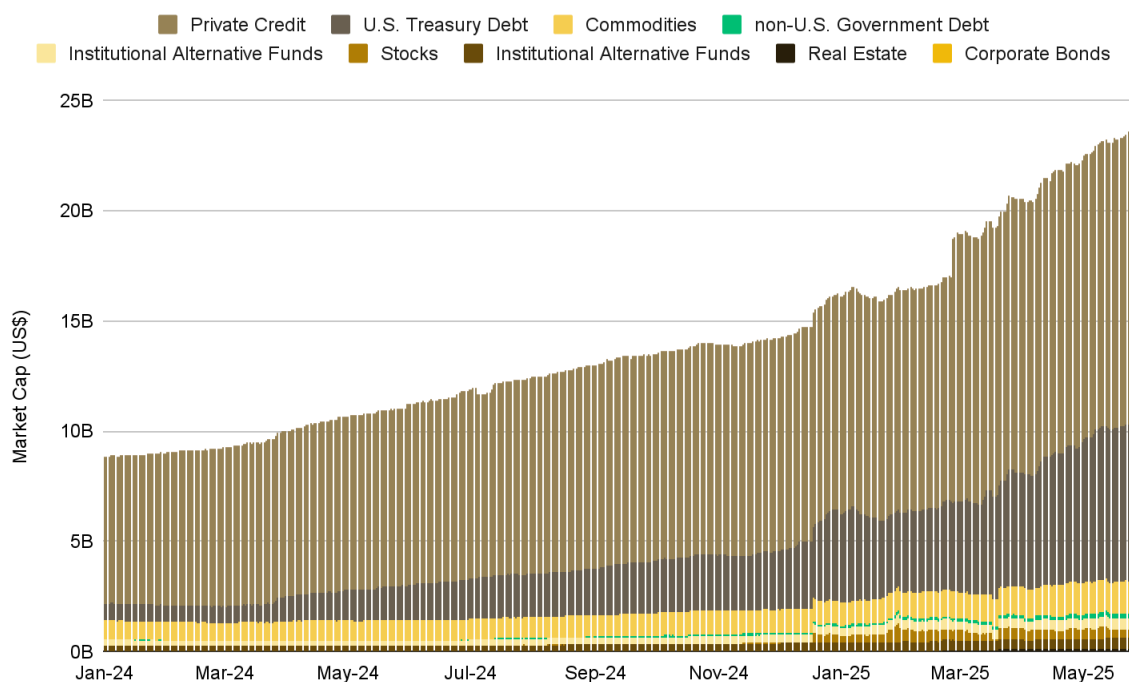
The crypto market in May exhibited a sector divergence. **DeFi led performance**, surging 19.0%, outperforming Bitcoin's 11.1% gain. DeFi was the **only major sector to outperform BTC**, reflecting wider capital rotation and renewed focus on protocol innovation and yield opportunities. On-chain activity and price trends rose in tandem, with DeFi TVL recovering to its highest level since early February.

In contrast, the Gaming and Layer 2 (L2) sectors continued to weaken, posting losses even as Bitcoin reached a new ATH. Other sectors that posted moderate gains include:

- **Memecoins** rose 9.3% and **Exchange** tokens 7.9%, supported by bullish sentiment and increased trading activity.
- **Artificial Intelligence (AI)**-related tokens gained 4.7%, while **Real-World Assets (RWAs)** rose 3.6%, reflecting sustained interest in these areas.
- **Stablecoins** recorded a modest 2.2% increase, consistent with their low-volatility profile. Their total market value surpassed US\$250B, marking the 20th consecutive month of growth.

Tokenized RWAs Continue to Break Successive Highs

Figure 8: Tokenized RWAs continue setting new highs, with total market cap now surpassing US\$23B



Note: Stablecoins are excluded from the market cap figure
Source: RWA.xyz, Binance Research
As of May 31, 2025

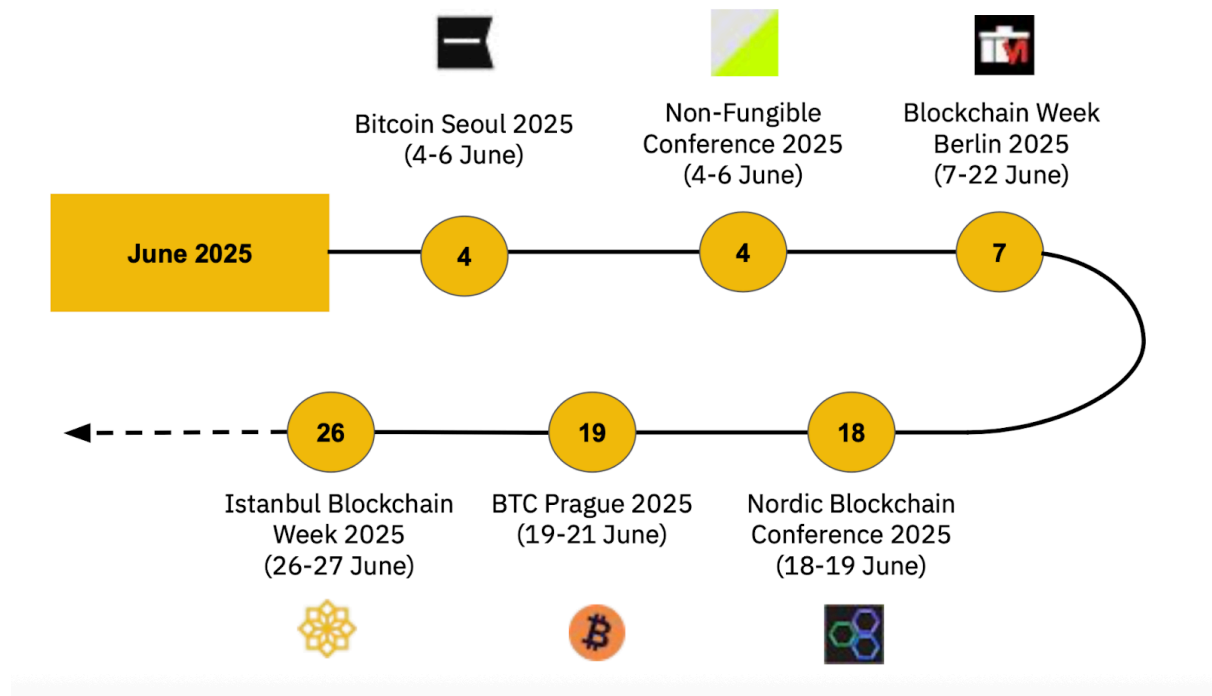
The tokenized real-world asset (RWA) sector is experiencing remarkable growth, with its total market cap increasing by 6.5% in just the past month. **In the first half of 2025 alone, the market surged from US\$8.6B to over US\$23B** – an extraordinary **rise of more than 260%**. Tokenized private credit currently leads the market, commanding approximately 58% share, followed by tokenized U.S. Treasury debt at around 34%.

A key driver of this growth is Tradable, a ZKSync Era-native protocol launched in January 2025, which has quickly outpaced competitors with over US\$2B in tokenized assets to date. Meanwhile, integration between tokenized RWAs and DeFi protocols has also meaningfully advanced. BlackRock's BUIDL fund – the largest tokenized treasury fund at US\$2.9B (up ~4.5x from US\$649M at the start of 2025) – **recently launched** its first direct DeFi integration via Euler Finance, enabling lending and borrowing on the Euler platform. Additionally, **Centrifuge** and **Securitize** have introduced tokenized funds on Solana, connecting with established Solana DeFi protocols such as Kamino Finance.

The increasing fusion of tokenized RWAs with DeFi not only injects a fresh source of reliable yields into on-chain financial ecosystems but also addresses longstanding concerns about DeFi's sustainability, moving the industry beyond a self-referential, **"ourobouristic" system**, and toward a more robust and diversified financial future.

04 / Upcoming Events and Token Unlocks

Figure 9: Notable Events in June 2025



Source: Cryptoevents, Binance Research

Figure 10: Largest token unlocks in US\$ terms

PROJECT	TOKEN	UNLOCK IN US\$ EQUIVALENT	% OF SUPPLY	UNLOCK DATE
	SUI	209M	0.58%	1 June
	APT	61M	0.98%	12 June
	ZK	46M	3.67%	17 June
	ARB	39M	0.93%	16 June
	VANA	38M	4.33%	16 June
	ENA	37M	0.63%	2 June
	BLAST	33M	10.50%	26 June
	ZKJ	31M	1.55%	19 June
	OP	24M	0.75%	30 June
	JTO	21M	1.13%	7 June

Source: CryptoRank, Binance Research

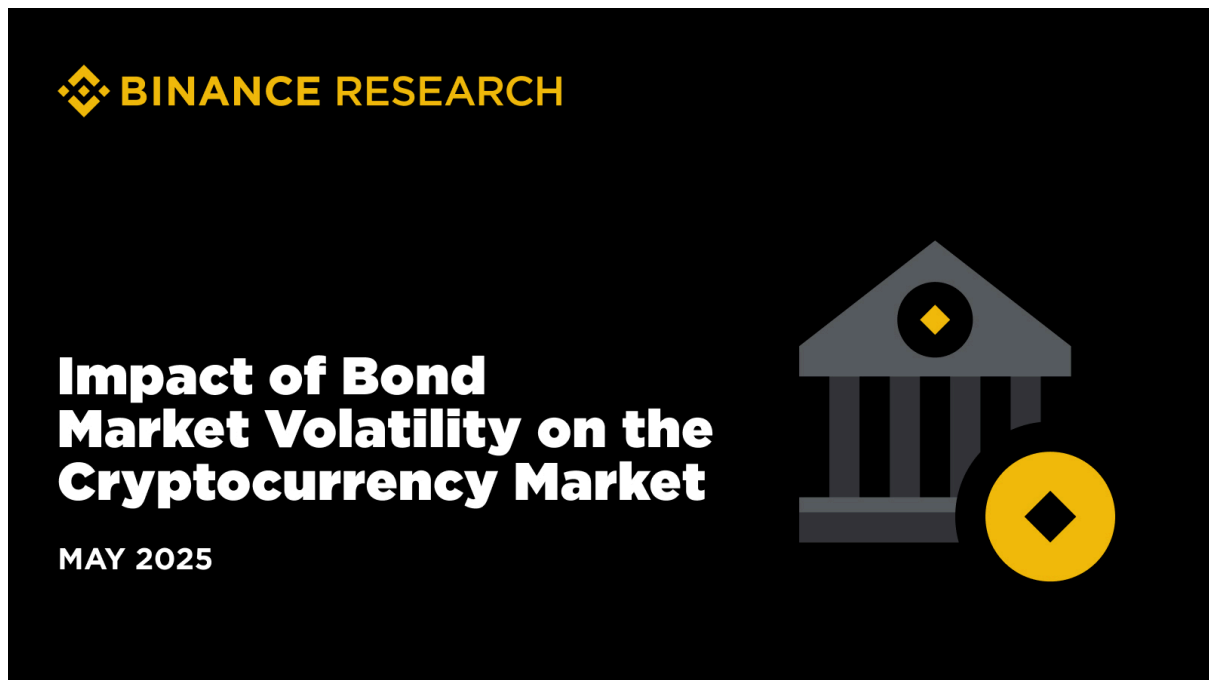
05 / References

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coinmarketcap.com/
cryptoslam.io/
token.unlocks.app/
dune.com/
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06 / New Binance Research Reports

Impact of Bond Market Volatility on the Cryptocurrency Market [Link](#)

This report examines the correlation patterns and evolution between bond & crypto markets



DeFAI Unstacked: The Future of On-Chain Finance [Link](#)

Unpacking the layers of DeFAI, the usage of AI agents in crypto, along with the associated risks and future implications



About Binance Research

Binance Research is the research arm of Binance, the world's leading cryptocurrency exchange. The team is committed to delivering objective, independent, and comprehensive analysis and aims to be the thought leader in the crypto space. Our analysts publish insightful thought pieces regularly on topics related but not limited to, the crypto ecosystem, blockchain technologies, and the latest market themes.



Moulik Nagesh
Macro Researcher

Moulik is a Macro Researcher at Binance and has been involved in the cryptocurrency space since 2017. Prior to joining Binance, he held cross-functional roles at Web3 and Silicon Valley-based tech companies. With a background in co-founding startups and a BSc in Economics from the London School of Economics and Political Science (LSE), Moulik brings a well-rounded perspective to the industry.



Joshua Wong
Macro Researcher

Joshua is currently a Macro Researcher at Binance. He has been active in the cryptocurrency space since 2019. Prior to joining Binance, he worked as a product manager at a Web3 fintech startup and as a market analyst at a DeFi startup. He holds a Bachelor of Laws (LLB) from Durham University.



Michael JJ
Macro Researcher

Michael is a macro researcher at Binance. Prior to this, he worked as an economist at a U.S. private wealth management firm, focusing on cross-asset allocation. He also served as editor-in-chief at a media company, overseeing cryptocurrency reporting and educational content. Earlier in his career, he was a consultant at Ernst & Young and a crude oil trader at an energy firm.



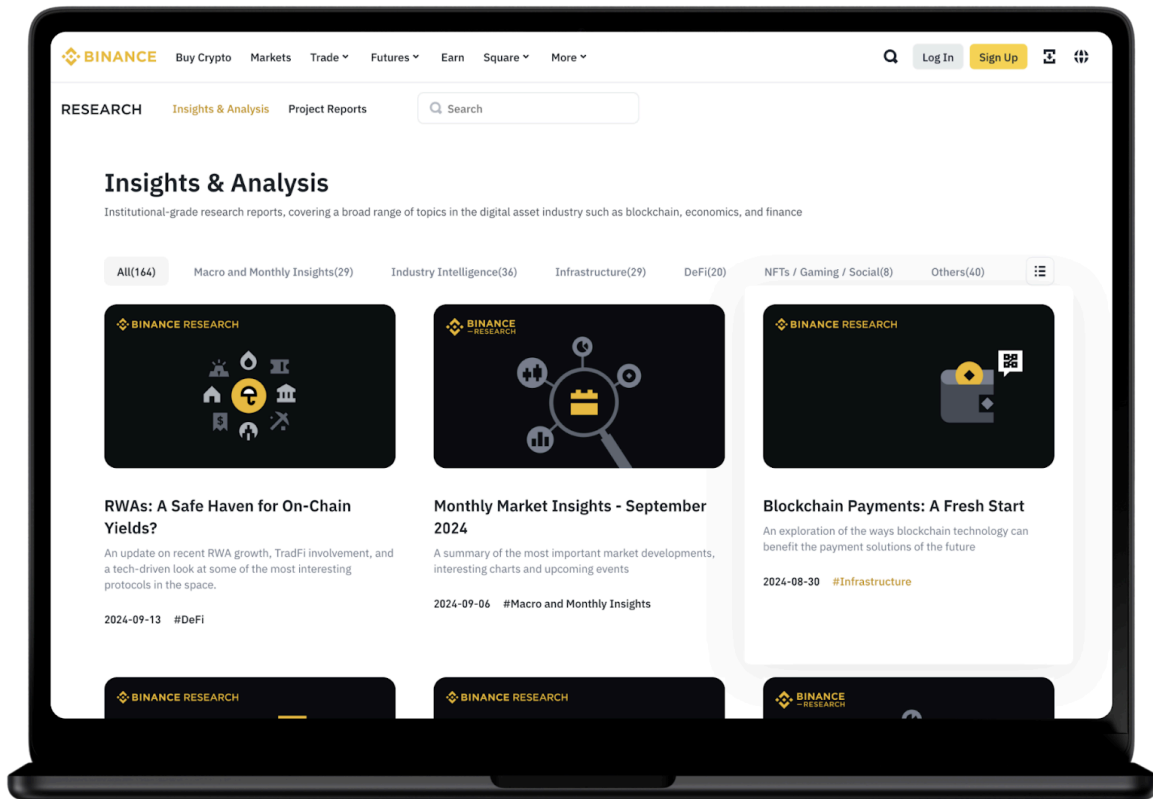
Asher Lin Jiayong

Macro Research Intern

Asher is currently a Macro Research Analyst Intern at Binance. Prior to this, he worked at a token management platform in New York and as a data analyst in a Swedish AI startup. He holds a Bachelor of Science in Business Analytics from the National University of Singapore and has been involved in the cryptocurrency space since 2018.

Resources

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